India embarks on the path to Globalisation

International business has entered into a new era of reforms. India too did not remain cut-off from these developments. India was under severe debt trap and was facing crippling balance of payments crisis. In 1991, it approached the International Monetary Fund (IMF) for raising funds to tide over its balance of payment deficit. IMF agreed to lend money to India subjects to the conditions that India would undergo structural changes to be able to ensure repayment of borrowed fund. India had no alternative but to agree to the proposal. It was the conditions imposed by IMF which more or less force India to liberalise its economic policies. Since then a fairly large amount of liberalization at the economic front has taken place. Though the process of reforms has somewhat slowed down. India is very much on the path to globalization and integrating with world economy. While, on the one hand, many multinational corporations (MNCs) have ventured into Indian market for selling their goods and services, many Indian companies too have stepped out the country to market their goods and services to consumers in foreign countries

is all business transactions-private and governmental- that involve two or more countries. Private companies undertake such transactions for profits, governments may or may not do the same in their transactions.

25.03 Method of Conducting International Business

1. Exporting and Importing

Exporting denotes selling of goods and services from the home country to a foreign country. Similarly importing refers to purchasing of products from foreign country and bringing them into home country

2. Contract Manufacturing (or) Outsourcing

It connotes a type of international business where a firm enters into a contract with one or a few local manufacturers in foreign countries in order to get certain components of goods produced according to its specifications. It is also called outsourcing or contract manufacturing

3. Licensing and Franchising

Licensing is contractual agreement wherein one firm grants access to its plants, trade secrets or technology to another firm in a foreign country, for a fee called royalty, e.g. McDonald, Pisa Hut, etc., The firm which grants such permission is called Licensor or Franchisor and other firm to whom the license is granted is called Licensee or Franchisee

4. Joint Venture

A Joint venture is a business agreement wherein parties agree to develop a new entity and assets subscribing to equity shares and thereby exercising control over enterprise and consequently sharing revenues, expenses and the assets. It can be established under three different ways namely

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